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# **The 10X Rule**

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## CHAPTER 1

# What Is the 10X Rule?

What Is the 10X Rule? The 10X Rule is the one thing that will guarantee that you will get what you want in amounts greater than you ever thought imaginable. It can work in every area of life—spiritual, physical, mental, emotional, familial, and financial. The 10X Rule is based on understanding how much effort and thought are required to get anything done successfully. Chances are that if you look back over your life, you'll see that you have wildly underestimated both the actions and reasoning necessary to accomplish any endeavor to the point where it could be labeled successful.

Although I myself have done well in the first part of the 10X Rule—assessing the level of effort necessary to realize a goal—I failed the second part of the 10X Rule: adjusting my thinking so that I dare to dream at levels previously unimaginable. I will discuss both facets in detail. I have been studying success for the better part of three decades and have found that although there is much agreement about goal setting, discipline, persistence, focus, time management, leveraging through good people, and networking, 1  
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THE 10X RULE I've never been clear on that one thing that really makes the difference.

I have been asked hundreds of times in seminars and interviews, “What is that one quality/action/mind-set that will ensure a person creates extraordinary success?” This question has nagged me to understand if there was one thing in my own life that made a difference: “What one thing have I done that made the biggest difference?” I don’t have some gene that others are missing, and I definitely haven’t been lucky.

I was not connected to the “right” people, and I didn’t go to some blue-blood school. So what was it that made me successful? As I look back over my life, I see that the one thing that was most consistent with any success I’ve achieved was that I always put forth 10 times the amount of activity that others did. For every sales presentation, phone call, or appointment others made, I was making 10 of each.

When I started buying real estate, I looked at 10 times more properties than I could buy and then made offers to ensure that I was able to buy what I wanted at the price I desired. I have approached all my business enterprises with massive action; that has been the single biggest determining factor in any success I have created. I was a complete unknown when I built my first company without a business plan.

I had zero know-how or connections, and the only money I had was generated by new sales. However, I was able to build a sound, viable business just by utilizing and operating at activity levels far beyond what others considered reasonable. I made a name for

myself—and literally changed an industry as a result. Let me be clear here: I do not think that I’ve created extraordinary levels of success, nor do I think I have tapped into my full potential.

I am completely aware that there are many people who are many times more successful—at least financially—than me. Although I am not Warren Buffett, Steve Jobs, or one of the founders of Facebook or Google, I have created multiple companies from scratch that have allowed me to have an overall enjoyable lifestyle. The reason CC0011..iinnndddd 22 33//1144//1111 1100::2299::0077 AAMM What Is the 10X Rule? 3 why I didn’t create extraordinary levels of financial success is because I violated the second part of the 10X Rule: the 10X way of thinking.

That would be my only regret: failing to approach my life with the right mind-set. I would have actually set targets that were 10 times what I had dreamed of in the beginning. But, like you, I am working on it now—and I still have a few years to correct this. I mention the notion of creating “extraordinary levels” of success time and again throughout this book. Extraordinary by definition means anything outside the realm of what most normal people can and do achieve.

And of course that definition would then depend on with whom or what class of success you are comparing yourself. Before you say, “I don’t need extraordinary levels of success” or “success is not everything” or “I just want to be happy” or whatever else you may be mumbling to yourself at this very moment, understand

something: in order to get to the next level of whatever you're doing, you must think and act in a wildly different way than you previously have been.

You cannot get to the next phase of a project without a grander mind-set, more acceleration, and extra horsepower. Your thoughts and actions are the reasons why you are where you are right now. So it would be reasonable to be suspect of both! Let's say you have a job but no savings and want to have another \$1,000 a month coming in. Or perhaps you currently have \$20,000 in the bank and want to save \$1 million or that your company is doing \$1 million a year in sales and you want to get to \$100 million.

Maybe you need to find a job, lose 40 pounds, or find the right partner. Although these scenarios cover different areas of your life, they all have one thing in common: the person who desires them is not there yet. Each of these goals is valuable, and each will require a different way of conceptualizing and acting upon them in order to attain them. All of them can be defined as extraordinary if they exceed what you have come to know as ordinary.

While it might not be "exceptional" compared with what others are, the goal you set should always move you to a better place—or toward an objective you've not yet achieved. Others might have an opinion about your success—but only you can decide if it is extraordinary. Only you know your true potential and whether you're living up to it; no one else can judge

your success.

Remember: Success is the degree or measure of attaining some desired object or end. Once you attain this desired end, the issue then becomes whether you can maintain, multiply, and repeat your actions in order to sustain that result. Although success can describe an accomplished feat, people usually don't study success in terms of something they have done. They go at it with a mind toward something they are seeking to do.

An interesting thing about success is that it's like a breath of air; although your last breath of air is important, it's not nearly as important as the next one. No matter how much you've already achieved, you will desire to continue making accomplishments in the future. If you stop trying to succeed, it's like trying to live the rest of your life off the last breath of air. Things change; nothing remains as it was—for things to be maintained, they require attention and action.

After all, a marriage cannot maintain itself off the love felt on the wedding day. But people who are highly successful—in both their professional and personal lives—continue to work and produce and create even after they've flourished. The world watches these people with amazement and confusion, asking questions like, "Why do they keep pushing?" The answer is simple: Extremely successful people know that their efforts must continue in order for them to realize new achievements.

Once the hunt for a desired object or goal is abandoned, the cycle of success comes to an end. Someone said to me recently, “It is clear you have made enough money to live comfortably; why are you still pushing?” It is because I am obsessed with the next breath of accomplishment. I am compulsive about leaving a legacy and making a positive footprint on the planet. I am most unhappy when I am not

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I am most happy when I am in quest of reaching my full potential and abilities. My disappointment or dissatisfaction with where I am at this moment does not suggest that something is wrong with me but rather that something is right with me. I believe that it is my ethical obligation to create success for myself, my family, my company, and my future. No one can convince me that there’s something wrong with my desire to achieve new levels of success.

Should I be happy with the love I have for my children and wife yesterday—or should I continue to create and pour it on in new amounts today and tomorrow? The reality is that most people do not have whatever they define as success; many want “something more” in at least one area of their lives. Indeed, these are the people who will read this book—the unsatisfied who yearn for something more.

And really, who doesn’t want more: better relationships, more quality time with those they love, more momentous experiences, a better level of fitness and health, increased energy, more spiritual

knowledge, and the ability to contribute to the good of society? Common to all of these is the desire to improve, and they are qualities by which countless people measure success. Regardless of what you want to do or be—whether it is to lose 10 pounds, write a book, or become a billionaire—your desire to reach these points is an incredibly important element of doing so.

Each of these goals is vital to your future survival— because they indicate what’s within your potential. Regardless of the goal you are striving to accomplish, you will be required to think differently, embrace a die-hard level of commitment, and take massive amounts of action at 10 times the levels you think necessary—followed by more actions. Almost every problem people face in their careers and other aspects of their lives—such as failed diets, marriages, and financial problems— are all the result of not taking enough action.

So before you say to yourself for the millionth time, “I would be happy if I just had . . .” or “I don’t want to be rich— just comfortable” or “I just want enough to be happy,” you must understand one vital point: Limiting the amount of success CC0011..iinndddd 55 33//1144//1111 1100::2299::0077 AAMM 6 THE 10X RULE you desire is a violation of the 10X Rule in and of itself.

When people start limiting the amount of success they desire, I assure you they will limit what will be required of them in order to achieve success and will fail miserably at doing what it takes to keep it. This is the focus of the 10X Rule: You must set targets that are 10



times what you think you want and then do 10 times what you think it will take to accomplish those targets.

Massive thoughts must be followed by massive actions. There is nothing ordinary about the 10X Rule. It is simply what it says it is: 10 times the thoughts and 10 times the actions of other people. The 10X Rule is about pure domination mentality. You never do what others do. You must be willing to do what they won't do—and even take actions that you might deem “unreasonable.” This domination mentality is not about controlling others; rather, it's about being a model for others' thoughts and actions.

Your mind-set and deeds should serve as gauges by which people can measure themselves. 10X people never approach a target aiming to achieve just that goal. Instead, they're looking to dominate the entire sector—and will take unreasonable actions in order to do so. If you start any task with a mind toward limiting the potential outcome, you will limit the actions necessary to accomplish that very goal. The following is the basic series of mistakes people make when setting out to achieve goals: 1.

Mistargeting by setting objectives that are too low and don't allow for enough correct motivation. 2. Severely underestimating what it will take in terms of actions, resources, money, and energy to accomplish the target. 3. Spending too much time competing and not enough time dominating their sector. 4. Underestimating the amount of adversity they will need to overcome in order to actually attain their desired goal. CC0011..iinndddd 66 33//1144//1111

7 The foreclosure issue that America is facing right now is a perfect example of this sequence of missteps. Those who fell victim to this situation were mistargeting, underestimating necessary amounts of actions, and concentrating too intensely on being competitive rather than creating a situation that would make them invincible to unexpected setbacks. People were operating with a herd mentality—one based on competition instead of domination—during the housing boom. They thought in terms of “I have to do what my colleague/ neighbor/family member is doing” instead of “I have to do what’s best for me.”

Despite what many people claim (or want to believe), the truth is that every person who had a negative experience regarding the housing collapse and foreclosure mess did not correctly set his or her goals for survival. The number of foreclosures then impacted people’s home values across the country. And when the real estate market crumbled, it negatively impacted everything—affecting even those who weren’t playing the real estate game. Unemployment suddenly doubled and then tripled.

As a result, industries were crippled, companies were shut down, and retirement accounts were wiped out. Even the most sophisticated of investors misjudges the correct amount of financial wealth necessary to weather this kind of storm. You can blame the banks, the Fed, mortgage brokers, timing, bad fortune, or even God if you like, but the reality of the situation is that every person

(including myself!), as well as countless banks, companies, and even entire industries, failed to appropriately assess the situation.

When people don't set 10X goals—and therefore fail to operate at 10X levels—they become susceptible to “get-rich-quick” phenomena and unplanned changes in the marketplace. If you had occupied yourself with your own actions—aimed at dominating your sector—you probably would not have been baited by these kinds of temptations. I know because it happened to me. I myself got caught up in this situation because I had not properly set my own targets at 10X levels and became susceptible to someone else's racket.

Someone approached me, gained my trust, and claimed to be able to make me money if I would only join forces with him and his company. Because I didn't have enough “skin” in my own games, I was drawn in, and he hurt me—badly. Had I set my own targets properly, I would have been so preoccupied with doing what was necessary to accomplish them that I wouldn't have even had time to meet with this crook.

If you look around, you will likely see that humankind, by and large, tends to set targets at subpar levels. Many people, in fact, have been programmed to set targets that are not even of their own design. We are told what is considered to be “a lot of money”—what is rich, poor, or middle class. We have predetermined notions about what is fair, what is difficult, what is possible, what is ethical, what is

good, what is bad, what is ugly, what tastes good, what looks good, and on and on.

So don't assume that your goal setting isn't impinged upon by these already-established parameters, too. Any goal you set is going to be difficult to achieve, and you will inevitably be disappointed at some points along the way. So why not set these goals much higher than you deem worthy from the beginning? If they are going to require work, effort, energy, and persistence, then why not exert 10 times as much of each?

What if you are underestimating your capabilities? Oh, you might be protesting, but what of the disappointment that comes from setting unrealistic goals? Take just a few moments to study history, or—even better—simply look back over your life. Chances are that you have more often been disappointed by setting targets that are too low and achieving them—only to be shocked that you still didn't get what you wanted. Another school of thought is that you shouldn't set “unrealistic” goals because they might compel you to give up when you realize you can't reach them.

But wouldn't coming up short on a 10X target accomplish more than coming up short on one-tenth of that goal? Let's say that my original aim CC0011..iinndddd 88 33//1144//1111 1100::2299::0077 AAMM What Is the 10X Rule? 9 was to make \$100,000, which I then changed to \$1 million. Which of these goals would you rather come up short on? Some people claim that expectations are the reason for unhappiness. However, I can assure you from personal

experience that you'll suffer greatly by setting subpar targets.

You simply will not invest the energy, effort, and resources necessary to accommodate unexpected variables and conditions that are certain to occur sometime during the course of the project or event. Why spend your life making only enough money to end up with not enough money? Why work out in the gym only once a week, just to get sore and never see a change in your body type? Why get merely “good” at something when you know the marketplace only rewards excellence?

Why work eight hours a day at a job where no one recognizes you when you could be a superstar—and perhaps even run or own the place? All these examples require energy. Only your 10X targets really pay off! So let's return to our definition of success—a term most people have never even looked up, much less studied. What does it really mean to have success or be successful?

In the Middle Ages, the word often referred to the person taking over the throne. The word derived from the Latin *succeder* (now—that is real power!). “Succeed” literally means “to turn out well or to attain a desired object or end.” Success, then, is an accumulation of events turning out well or desired outcomes being achieved. Think of it this way: you wouldn't consider a diet “successful” if you lost 10 pounds and put on 12.

In other words, you have to be able to keep success—not just get it. You would also want to improve upon that success to ensure that you do maintain it. After all, you can cut your grass once and be

successful in doing so, but it's going to grow back eventually. You will have to constantly maintain the yard in order for it to continue to be defined as a success.

This isn't about attaining one goal one time but rather about what we can persist in creating. CC0011..iinndddd 99 33//1144//1111 1100::2299::0077 AAMM 10 THE 10X RULE Before you start worrying that you're going to have to work at this forever, let me assure you that you won't—that is, not if you set the correct 10X target from the beginning. Talk to anyone who is wildly, extraordinarily successful in some field, and they will tell you it never felt like work.

It feels like work to most people because the payoff is not substantial enough and doesn't yield an adequate victory to feel like something that isn't "work." Your focus should be on the kind of success that builds upon itself—that which is perpetual and doesn't happen only one time. This book is about how to create extraordinary achievement, how to ensure you will attain it, how to keep it— and then how to keep creating new levels of it without it feeling like work.

Remember: A person who limits his or her potential success will limit what he or she will do to create it and keep it. It's also vital to keep in mind that the subject of acquirement—in other words, the goal or target—doesn't matter as much as the mind-set and actions that are mandatory to accomplish 10X goals. Whether you want to be a professional speaker, best-selling author, top CEO, exceptional

parent, great teacher; have a model marriage; get in great shape; or produce a movie that the world talks about for generations, you'll be required to move beyond where you are right now and commit to 10X thoughts and actions.

Any desirable target or goal will always suggest something you have yet to accomplish. It doesn't matter how much you've already attained. As long as you are alive, you will either live to accomplish your own goals and dreams or be used as a resource to accomplish someone else's. For the sake of this book, success can also be defined as accomplishing the next level of what it is you desire—and in ways that will forever change how you perceive yourself, your life, the use of your energy, and—perhaps most significantly—how others perceive you.

The 10X Rule is about what you have to think and do to get to a point 10 times more gratifying than you have ever experienced. What Is the 10X Rule? 11 imagined. This level of success cannot be achieved by “normal” levels of thoughts and actions. That is why even when most of those goals are attained, they don't actually provide sufficient fulfillment.

Average marriages, bank accounts, weight, health, businesses, products, and the like are just that—average. Are you ready for the 10X adventure? 12 THE 10X RULE Exercise What are the two parts of the 10X Rule? What are the four biggest mistakes

people make when setting goals? Why is it a problem to set a goal too low? Are you ready to 10X? CC0011..iinndddd 1122 33//1144//1111 1100::2299::0077 AAMM CHAPTER 2 Why the 10X Rule Is Vital Before we get into how important it is for you to think and operate according to the 10X Rule, let me share a little of my own story.

For every project in which I have ever been involved, I underestimated the time, energy, money, and effort necessary to bring my project to the point of success. Any client I targeted or new sector of business into which I ventured has always taken 10 times more mail, calls, e-mails, and contacts than I had originally predicted. Even getting my wife to date and eventually marry me took 10 times more effort and energy than I had calculated (but it was worth every bit!).

Regardless of how superior your product, service, or proposition is, I assure you that there will be something you don't anticipate or correctly plan. Economic changes, legal matters, competition, resistance to converting, too new of a product banks freezing up, market uncertainty, technology changes, people problems . . . more people problems, elections, war, strikes—these are just a few of the potential “unexpected events.” I don't say this to scare you but instead to 13 CC0022..iinndddd 1133 33//1144//1111 1100::4499::4477 AAMM 14 THE 10X RULE prepare you for where the biggest opportunities exist.



10X thinking and actions are vital; they are the only things that will get you through these events. Money alone cannot do it; it can help, but it can't do the job for you. If you march into any battle without the proper troops, supplies, ammunition, and staying power, you will return home defeated. It's as simple as that. It's not enough to occupy a territory. You have to be able to keep it.

I started my first business when I was 29 years old. Most people won't go into business for themselves because they aren't willing to take the financial haircut necessary. I had prepared for this—or so I thought—and assumed that it would take me three months to get to the income level of the job I previously had. Well, it took me almost three years to get my business to provide me with the same income of the previous job.

That was 12 times longer than I had expected. And I almost quit after three months—not because of the money but because of the amount of resistance and disappointment I experienced. I had a very specific list of reasons why my company wasn't going to work. I had compiled it in an attempt to talk myself out of continuing. I was beyond disappointed; I was distraught and all but destroyed.

I literally went to a friend and said, "I can't do this anymore—I'm done." I made up reason after reason why it wasn't working out—the clientele didn't have the money, the economy sucked, the timing was wrong, I was too young, my clients didn't get it, people didn't want to change, I sucked, they sucked—and on and on. I eventually realized—after spending so much time trying to figure

out why things weren't working out—that it was completely possible that I was missing the answer entirely.

I never considered that I had merely incorrectly estimated what it would take to move a new product into the marketplace at the very beginning of the process. I had presented a new idea, for sure, but it wasn't one that anyone had asked for. I had limited funds, so I wasn't able to hire people and couldn't afford CC0022..iinndddd 1144 33//1144//1111 1100::4499::4477 AAMM Why the 10X Rule Is Vital 15 to advertise—which was unfortunate because no one knew me or my company.

I didn't know what I was doing and was cold calling other organizations. If this was going to work, it would depend on my ability to increase my efforts—not my excuses. Once I quit calculating all the wrong reasons, I committed to making this work by increasing my efforts 10 times. And as soon as I did that, everything started to change—immediately. I went back into the marketplace with the right estimation of effort and started seeing results.

Instead of making two to three sales calls a day, I started doing 20 to 30. When I ramped up my full commitment and aligned the correct levels of thought and action, the market started responding to me. It was still hard, and I was disappointed from time to time. But I was getting four times the results by making 10 times the effort. When you have underestimated the time, energy, and effort necessary to do something, you will have “quit” in your mind, voice,

posture, face, and presentation.

You won't develop the persistence necessary to get your mission accomplished. However, when you correctly estimate the effort necessary, you will assume the appropriate posture. The marketplace will sense by your actions that you are a force to be reckoned with and are not going away—and it will begin to respond accordingly. I have consulted with thousands of individuals and companies over the past 20 years—and I have never seen one of them correctly estimate effort and think.

Whether it was building a house, raising money, fighting a legal battle, getting a job, selling a new product, learning a new position, getting promoted, making a movie, or finding the right partner in life, it always took more than what people calculated. I have yet to meet anyone who claims that any of these things was easy. Achieving these goals may seem easy to those who are on the outside looking in, but those who know firsthand what it took would never make such a statement.

When you miscalculate the efforts you need to make something happen, you become visibly disappointed and discouraged. This causes you to incorrectly identify the problem. CC0022..iinndddd 1155 33//1144//1111 1100::4499::4477 AAMM 16 THE 10X RULE and sooner or later assume that the target is unattainable and ultimately throw in the towel. Most people's—including managers'—first response is to reduce the target rather than increase their activity. I have watched sales managers in

organizations do this for years with sales teams.

They give a quota or agree on a target at the beginning of the quarter and then midway through find they are unable to reach the target, so they hold a meeting and reduce the target to some more attainable figure in order for the team to stay motivated and have a chance of winning. This major mistake should never even cross your mind as an option. It sends the wrong message to the organization—that targets are unimportant and the only way to win is to move the finish line.

A great manager will push a person to do more at the risk of coming up short, not target less. This idea of changing targets to make everyone feel good will lead to a further weakening of morale, hope, expectations, and skills, and everyone will start assigning reasons—better known as excuses—as to why the team is unable to attain its targets. Never reduce a target. Instead, increase actions. When you start rethinking your targets, making up excuses, and letting yourself off the hook, you are giving up on your dreams!

These actions should be an indication that you're getting off track—that you should begin thinking in terms of correcting your initial estimation of effort. The 10X Rule assumes the target is never the problem. Any target attacked with the right actions in the right amounts with persistence is attainable. Even if I want to visit another planet, I must assume that the right actions taken in the right amounts over whatever time necessary will allow me to accomplish this.

When people inadequately measure the actions necessary, they inevitably start to rationalize. Mankind seems to have this builtin, automatic calculator whose only purpose is to explain away failure. The problem is that the first and most often used calculations always seem to target something other than activity level. This calculator tends to be more emotional than logical;

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